

# Target Corporation (NYSE: TGT)

HOLD — a turnaround that's real, in a stock that's already priced for it to keep working

HOLD

\$159.00

Current price (8/19/26 close)

\$132.70

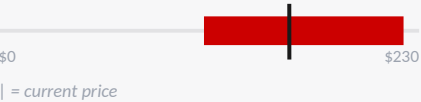
DCF Base fair value (blended)

(17%)

Implied downside to Base DCF

SCENARIO DCF (blended, \$/sh)

|      |          |
|------|----------|
| Bull | \$221.52 |
| Base | \$132.70 |
| Bear | \$112.36 |



## INVESTMENT THESIS — FOUR PILLARS

1

### Turnaround confirmed, not just hoped for

Comp sales +5.6% (Q1) then +3.8% (Q2), traffic +4.4%→+3.6% — decelerating roughly as guided, but two consecutive quarters of broad-based, all-category positive comps after FY2023-25's reset.

2

### Real reinvestment behind it

"Next Chapter": \$5.0bn FY26 capex (+27% YoY H1, on track), 130+ remodels, food/Fun 101/Beauty Studio resets — not a cost-cutting story, a demand-side one.

3

### Valuation risk is now the live debate

Stock re-rated +4.28% to a new 52-wk high on the Q2 print — running past both this DCF (\$132.70) and Street's own average target (\$144.40).

4

### Balance sheet gives room to be patient

IG ratings (A2/A/A), ~2.0x lease-adj. Debt/EBITDA, 55th straight year of dividend increases — downside is cushioned even if the re-rating stalls.



## KEY STATS

|                           |                  |
|---------------------------|------------------|
| Market cap                | \$72.6bn         |
| Enterprise value          | \$85.4bn         |
| 52-week range             | \$83.44–\$161.98 |
| P/E (TTM) <sup>1</sup>    | 16.5x            |
| EV/EBITDA (TTM)           | 9.2x             |
| Div. yield (ann.)         | 2.9%             |
| Analyst avg PT / rating   | \$144.40 • Hold  |
| Consensus range (38 est.) | \$92–\$180       |
| Beta (blended)            | 0.82             |
| WACC                      | 7.43%            |

<sup>1</sup> TTM P/E flattered by a one-time Q2 tariff-duty refund (~17% of TTM NI); ex-refund ~19.9x.

# A #2-3 general-merchandise retailer, in a large but bifurcating market

Simple single-format US big-box model — the clearest lens on the turnaround debate

COMPANY SNAPSHOT

HQ: Minneapolis, MN

Founded: 1902 (Target since '62)

FY2025 revenue: \$104.78bn

Stores: ~1,995 + 24 opened YTD

Employees: ~440,000

Segments: Merchandise + Digital/Ad

US MARKET SIZE

\$5.6T

Total US retail sales, 2026E (NRF)

16.4%

E-commerce share of retail, 2026 (Census)

Market is bifurcating: value-led trade-down formats and premium/club formats both taking share from mid-tier general merchandise — the exact squeeze TGT sits inside.

PEER SCALE (TTM REV, \$BN)

108

TGT

62

TJX

43

DG

24

ROST

RECENT STRATEGIC TIMELINE

Mar '26: "Next Chapter" unveiled — \$5.0bn FY26 capex (+25% YoY), 130+ remodels/yr

May '26 (Q1): comp +5.6%, traffic +4.4%, all 6 categories positive, gr. margin +80bps

Jun '26: dividend raised to \$1.16/sh — 55th consecutive year of increases

Aug '26: new \$4.0bn revolver (Aug '31); Q2 comp +3.8%, traffic +3.6%, FY26 guide raised

CAPITAL STRUCTURE & RETURN SNAPSHOT

Funded debt (Q2 FY26): \$15.4bn

Lease-adj. Debt/EBITDA: ~2.0x

Buybacks, Q1+Q2 FY26: \$0 (paused)

Cash & equivalents: \$5.4bn

Credit ratings: A2 / A / A (Neg.)

Div. — 55th straight increase: \$1.16/sh qtlly

SWOT (COMPRESSED)

Strengths

- #2-3 general merch. retailer, 1,995 stores
- Dividend King — 55 yrs of increases
- IG balance sheet: A2/A/A
- Roundel/Target Plus scaling, margin-accretive

Opportunities

- Next Chapter: 130+ remodels/yr
- Target Plus GMV target: \$5bn by 2030
- New \$4.0bn revolver — added liquidity

Weaknesses

- Op. margin still below FY21 (8.4%→4.9%)
- Ticket growth flat/negative 4 of 5 yrs
- Capex has landed low-end before
- Trailing P/E distorted by one-time refund

Threats

- Tariff cost pressure ongoing
- Fitch outlook Negative (lone dissent)
- Intense rivalry: Walmart, Amazon, off-price

Source: Target FY2025 10-K, Q2 FY2026 press release/10-Q; NRF 2026 retail forecast; US Census/FRED ECOMPCTSA; stockanalysis.com.

TGT | 2 / 6

# Bull vs. Bear: both cases are defensible — that's why the DCF spread is \$221.52 to \$112.36

Case-comp framing: the disagreement is about durability of the inflection, not whether it happened

BULL CASE

\$221.52 blended DCF (+39% upside)

**Traffic inflection compounds:** Q1 +4.4% then Q2 +3.6% traffic is two straight quarters of broad-based share gain — not a one-quarter easy-comp bounce; Fun 101 / food reset / Beauty Studio are real, repeatable demand drivers.

**Reinvestment cycle is genuinely funded:** \$5.0bn FY26 capex (+27% YoY H1, on track — a reversal of FY24-25's low-end pattern), 130+ remodels/yr each disclosed to lift Year-1 comps 2-4%.

**Margin has real room to recover:** op. margin still well below the FY2021 peak (8.4% vs. 4.9% FY25A) — even partial recovery toward historical norms is a multi-billion-dollar EBIT swing given TGT's fixed-cost operating leverage.

**Guidance was raised on clean grounds:** FY26 revenue growth guided to ~5% and EPS to \$9.90-\$10.90 — management's own read of the underlying trend, not just the one-time tariff refund.

**Balance sheet funds patience:** IG ratings (A2/A/A) and ~2.0x lease-adj. Debt/EBITDA mean TGT can keep reinvesting through the deceleration debate without a credit or liquidity constraint forcing a worse outcome.

BOTTOM LINE:

if H2 traffic holds anywhere near the H1 blend, Base-case fair value itself has more room to re-rate upward than the market has already given it credit for.

BEAR CASE

\$112.36 blended DCF (~29% downside)

**Deceleration is the real signal:** traffic +4.4%→+3.6% is a ~20% slowdown in growth rate quarter-over-quarter — extrapolate that glidepath and traffic is flat-to-negative within a few quarters, echoing FY2023-25.

**The market has already overpaid:** the stock's one-day +4.28% move to a new 52-wk high (\$159.00) outran BOTH this DCF (\$132.70) and Street's own average target (\$144.40) — a real but unproven turnaround, priced as a proven one.

**Fixed-cost operating leverage cuts both ways:** the same leverage that makes the Bull case work makes a demand air-pocket painful — Bear's own scenario shows FY32E operating margin compressing to 3.8% (vs. 4.3% Base, 6.6% Bull) even after several years of assumed partial recovery.

**Capital allocation says caution, not conviction:** \$0 in buybacks for two straight quarters (Q1 AND Q2 FY26) even as the stock re-rated — management itself isn't signaling the stock is cheap.

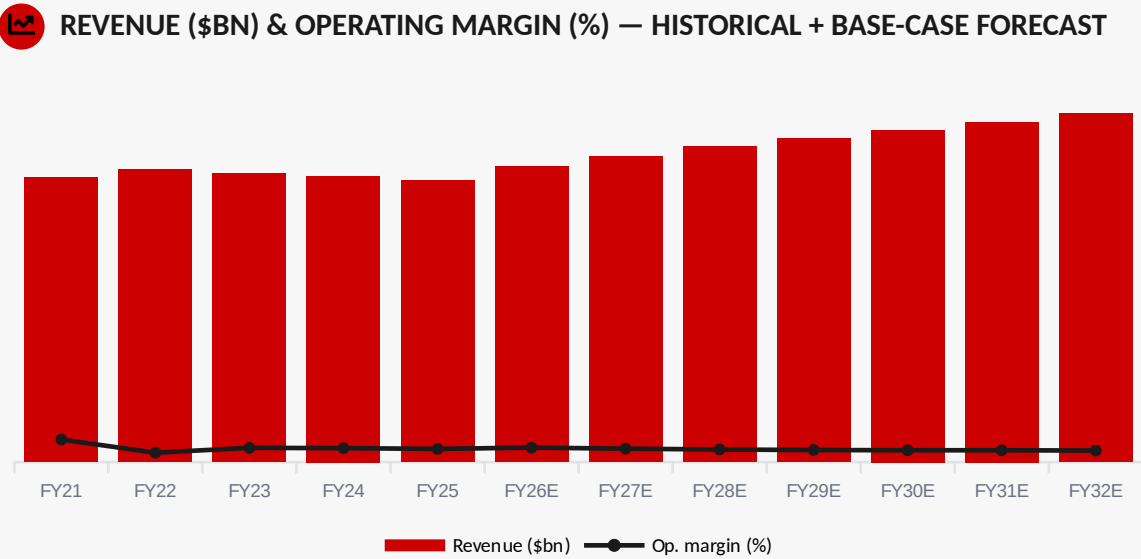
**Margin recovery is still unproven:** even Q2's headline 9.6% operating margin was ~3.7pts inflated by a one-time tariff refund — the underlying run-rate is still well below FY2021, with no management framework quantifying the path back.

BOTTOM LINE:

even if the turnaround is real, the stock needs several more clean quarters to justify \$159 — and one soft print resets the entire re-rating.

# Base case reconciles guidance without extrapolating the beat

FY26E-FY32E built bottoms-up (traffic × ticket), not top-down — see Assumptions & Revenue Build tabs



Base-case FY26E revenue \$110.0bn (+4.99% YoY) reconciles to management's own "~5% net sales growth" guidance; op. margin glides down from FY26E's 5.4% (which still includes the tariff refund flowing into TTM comps elsewhere on this deck) toward a conservative 4.3% long-run rate — Base does NOT assume a full recovery to FY21 peak margins.

COMP SALES & TRAFFIC TREND (HISTORICAL)

|            | FY21   | FY22  | FY23   | FY24  | FY25   | Q1'26 | Q2'26 |
|------------|--------|-------|--------|-------|--------|-------|-------|
| Comp sales | +12.7% | +2.2% | (3.7)% | +0.1% | (2.6)% | +5.6% | +3.8% |
| Traffic    | +12.3% | +2.1% | (2.4)% | +1.4% | (2.2)% | +4.4% | +3.6% |

SCENARIO COMPARISON (FY2032E)

| Metric         | Bull     | Base     | Bear     |
|----------------|----------|----------|----------|
| Revenue (\$mm) | 142,609  | 129,788  | 123,282  |
| Op. margin     | 6.6%     | 4.3%     | 3.8%     |
| EPS            | \$20.43  | \$9.42   | \$7.36   |
| DCF (blended)  | \$221.52 | \$132.70 | \$112.36 |

KEY FY26E ASSUMPTIONS

- Traffic (Base): +2.5% — well below the confirmed H1 blend (~+4.0%), assuming H2 deceleration continues
- Ticket (Base): +0.6% — flat-to-negative in 4 of last 5 fiscal years, a structural drag not a driver
- WACC: 7.43% (beta 0.82, bottom-up unlevered from TJX/KSS/ROST, relevered at TGT's D/E)
- Terminal growth: 2.5% — standard long-run nominal-GDP/retail convention, not TGT-specific guidance

BALANCE SHEET & CAPITAL RETURN (Q2 FY26)

|                                    |                     |
|------------------------------------|---------------------|
| Funded debt                        | \$15,357mm          |
| Cash & equivalents                 | \$5,411mm           |
| Lease-adj. Debt/EBITDA             | ~2.0x               |
| Credit ratings (Moody's/S&P/Fitch) | A2 / A / A (Neg.)   |
| Buybacks, Q1+Q2 FY26               | \$0 (paused)        |
| Quarterly dividend                 | \$1.16/sh (55th yr) |

# DCF anchors below price; comps and Street consensus disagree on how far below

Triangulating three independent methods — DCF is the most defensible anchor given peer heterogeneity

DCF — WACC & OUTPUT

| WACC build             |       |
|------------------------|-------|
| Risk-free rate         | 4.63% |
| Equity risk premium    | 4.5%  |
| Beta (blended)         | 0.82  |
| Cost of equity         | 8.32% |
| After-tax cost of debt | 3.4%  |
| WACC                   | 7.43% |

| DCF method               | \$/sh    |
|--------------------------|----------|
| Perpetuity growth (2.5%) | \$124.46 |
| Exit multiple            | \$140.95 |
| Blended (50/50)          | \$132.70 |

Blended Base DCF sits 17% below the \$159.00 current price.

PERPETUITY-GROWTH SENSITIVITY (\$/SH)

| WACC ↓ / g → | 2.0%  | 2.5%  | 3.0%  |
|--------------|-------|-------|-------|
| 6.93%        | \$128 | \$142 | \$158 |
| 7.43%        | \$114 | \$124 | \$137 |
| 7.93%        | \$102 | \$110 | \$121 |

Base case sits at the 7.43% / 2.5% cell — fair value is below price across the entire ±50bps WACC band shown.

TRADING COMPS (TTM)

| Ticker | EV/EBITDA | P/E                | Net margin        |
|--------|-----------|--------------------|-------------------|
| TGT    | 9.2x      | 16.5x <sup>1</sup> | 4.1% <sup>1</sup> |
| TJX    | 19.8x     | 29.3x              | 9.4%              |
| ROST   | 22.2x     | 32.9x              | 9.8%              |
| DG     | 12.1x     | 17.4x              | 3.6%              |
| COST   | 29.8x     | 48.3x              | 3.0%              |
| KSS    | 6.9x      | 8.1x               | 1.8%              |

<sup>1</sup> TGT's TTM P/E and net margin are mechanically flattered by a one-time tariff refund (~17% of TTM NI); ex-refund P/E ~19.9x — still a real discount to TJX/ROST, but not as wide as the headline suggests.

Core beta set: TJX, KSS, ROST (WMT/COST/DG/BJ excluded as insufficiently comparable — see model methodology). Peer figures as of Aug 17, 2026; TGT row as of Aug 19, 2026 (post-Q2) — a disclosed dating asymmetry, not an inconsistency.

LEVERAGE CONTEXT

TGT ~2.0x lease-adj. Debt/EBITDA — below DG (~4.7x) and KSS (~5.4x), roughly in line with TJX (~1.6x), above ROST (~1.4x, low) and COST (net-cash-positive).

FOOTBALL FIELD (\$/SH)

| Valuation Method | Range (\$/SH) |
|------------------|---------------|
| Current px       | \$159.00      |
| Analyst PT       | \$95 - \$180  |
| Comps            | \$265 - \$410 |
| DCF              | \$125 - \$145 |
| 52-wk range      | \$85 - \$165  |

- DCF (Base) brackets below price — the more defensible anchor
- Comps range sits well above — reflects peer premium TGT hasn't earned, not a mispricing
- Street consensus (\$144.40 avg) also sits below the \$159.00 price

# HOLD: own the turnaround's proof, not its already-priced-in promise

Revisit on Q3 FY2026 earnings (~mid-Nov '26) or a pullback toward Base-case fair value



## KEY RISKS

- Valuation risk (primary):** the market's +4.28% one-day re-rating outran both this DCF and Street's own average target — a real but unproven turnaround may already be more than priced in.
- Deceleration trajectory unknown:** traffic decelerated Q1→Q2 (+4.4%→+3.6%); whether that stabilizes or continues into harder H2 compares is the crux of the Bull/Bear split.
- Margin recovery incomplete:** even Q2's reported 9.6% operating margin was ~3.7pts inflated by the one-time tariff refund; underlying margin remains well below the FY2021 peak with no management long-range framework to quantify the path back.
- Capital return is discretionary:** \$0 buybacks for two straight quarters — real FY2023 precedent for a full pause; not a floor investors can rely on.
- Tariff policy:** ongoing cost-pressure assumption is unchanged by the one-time Q2 refund and remains the least-certain line in the margin bridge.
- Peer-comp asymmetry:** the Trading Comps read leans on TGT's own Aug 19 data against peers still dated Aug 17 — a disclosed but unresolved dating gap worth re-checking before relying on the multiples precisely.

**Mitigant:** IG balance sheet (A2/A/A) and a Dividend King track record mean none of these risks are solvency risks — they're re-rating/timing risks.



## CATALYST CALENDAR

- Aug '26** Q2 FY26 earnings — RESOLVED: beat & raise, +4.28% reaction
- Nov '26** Q3 FY26 earnings — does deceleration stabilize into holiday build?
- Ongoing** Capex cadence vs. \$5.0bn FY26 guide (H1 tracking +27-30% YoY)
- Watch** Any resumption of buybacks — a management confidence signal
- Watch** Fitch outlook (Negative) — a revision to Stable would corroborate the thesis



## RISK/REWARD SKEW (DCF SCENARIOS)

| Scenario | DCF      | vs. \$159 |
|----------|----------|-----------|
| Bull     | \$221.52 | +39%      |
| Base     | \$132.70 | (17)%     |
| Bear     | \$112.36 | (29)%     |

Roughly symmetric in dollar terms (+\$62.52 Bull vs. -\$46.64 Bear) — it's Base, the modal outcome, sitting 17% below today's price that argues for HOLD over adding, not tail skew.



## WHAT WOULD CHANGE THIS VIEW

### UPGRADE

Pullback toward/below Base DCF (~\$133) without a deteriorating trend, or traffic holding +3%+ through Q3-Q4 without markdown-driven ticket decay.

### DOWNGRADE

Reversion to negative traffic and/or renewed gross-margin compression — confirming Q1-Q2 strength wasn't durable, at a valuation that already priced in durability.

**HOLD**

\$159.00 px | \$132.70 fair value